

13.	30-2025-01471437	1. Motion for Judgment on the Pleadings
	Masciel vs. Volkswagon Group of America, Inc	MP seeks judgment on the pleadings on the grounds that the fourth cause of action to Plaintiff GARRETT J MASCIEL’s Complaint does not and cannot state facts sufficient to constitute a claim against Defendants. (ROA 107, 103) Despite the clear error in Defendants’ Notice of Motion and Plaintiff’s failure to meet and confer in violation of CCP§439, the Court will proceed to rule on the merits. To that end, the Motion is DENIED. <u>1st-4th causes of action</u> Defendants argue with respect to these four causes of action that Plaintiffs’ Complaint fails to state a cause of action under the Song-Beverly Consumer Warranty Act because it does not allege that Plaintiffs purchased a consumer good, nor does it allege that Plaintiffs were a buyer of the Subject Vehicle. Defendants seemingly ignore Plaintiffs’ allegation that “Plaintiffs are "buyers" of consumer goods under the Act,” and that “Defendant VWGOA is a "manufacturer" and/or "distributor" under the Act.” (Complaint, ¶ 9.) <u>5th cause of action for Negligent repair</u> The elements of negligence are: “(1) a legal duty to use due care; (2) a breach of such legal duty; [and] (3) the breach as the proximate or legal cause of the resulting injury.” (<i>Ladd v. County of San Mateo</i> (1996) 12 Cal.4th 913, 917.) Plaintiffs allege that Defendant South Coast owed them “a duty to use ordinary care and skill in the storage, preparation and repair of the Subject Vehicle,” and “breached its duty by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards,” proximately causing Plaintiffs’ damages. (Complaint, ¶¶ 58-60.) Defendants contend that the economic loss rule bars this cause of action. The economic loss rule provides that “tort recovery for breach of a contract duty is generally barred [] unless... the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract [and] the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.” (<i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 20–21.) Plaintiffs’ negligent repair claim against Defendant South Coast is not alleged to be based on any contract. This is unlike the claims against Volkswagen which are based on the warranty issued by Volkswagen. Plaintiffs only allege that Audi “breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards.” (Complaint¶58.) Therefore, the economic loss rule does not apply here.

Defendants additionally contend that “the Complaint fails to plead any facts regarding the alleged negligence, rendering it insufficient to constitute a cause of action. Code Civ. Proc., § 430.10, subd. (e).” (Motion at pg. 10.)

Negligence claims do not need to be pled with the same level of specificity of fraud claims. Here, Plaintiffs allege that Defendant owed them a duty, breached that duty by failing to properly repair their vehicle, resulting in damages to Plaintiff. This is sufficient.

6th cause of action for Fraudulent Inducement – Concealment

The elements of fraud are “(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.)

Defendants argue that Plaintiffs fail to plead fraud with the requisite specificity. Generally, causes of action for fraud are subject to stricter pleading standards; fraud must be pled with specificity. (*Committee on Children’s Television v. General Foods Corp.* (1983) 35 Cal. 3d 197, 216-227.) Facts must be pled to “show how, when, where, to whom, and by what means the representations were tendered.” (*Hamilton v. Greenwich Investors XXVI, LLC* (2011) 195 Cal.App.4th 1602, 1614.)

In *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384, the Court of Appeal stated as follows with respect to the heightened pleading requirements for fraud:

“[I]t is harder to apply this rule to a case of simple nondisclosure. How does one show how and by what means something didn’t happen, or when it never happened, or where it never happened? [¶] ... One of the purposes of the specificity requirement is notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met. Less specificity should be required of fraud claims when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy, [e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party....” (*Id.* at 1384-1385.)

The details concerning facts regarding Defendant’s knowledge of the defects and the identities of those at Defendant who allegedly concealed material facts are, by nature, those of which Defendant must necessarily possess full information. These facts lie more in the knowledge of Defendant; thus, the allegations are sufficiently specific given the nature of the claim.

Defendant also argues that the fraud claim fails because Plaintiff fails to allege a transactional relationship between Plaintiff and Volkswagen giving rise to a duty to disclose.

“There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.)

		Under <i>LiMandri</i>, here, the Complaint adequately pleads that Defendant had knowledge of material facts that were unknown to Plaintiffs. (Complaint at ¶¶ 63,64.) The allegations sufficiently allege that Defendant actively concealed said facts. Further, while Plaintiffs do not allege they purchased the Subject Vehicle directly from Defendant Volkswagen, the do plead, “On or about October 30, 2019, Plaintiff entered into a warranty contract with Defendant VWGOA regarding a 2019 Volkswagen Atlas, vehicle identification number 1V2NR2CA8KC515145 (hereafter ‘Subject Vehicle’), which was manufactured and or distributed by Defendant.” (Complaint¶7.) The Court of Appeal has held this is sufficient at the pleading stage. (See <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 844.) Defendants also argue that Plaintiffs fail to allege corporate ratification of the fraud, noting that [t]he requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (<i>Tarmann v. State Farm Mut. Auto Ins. Co.</i> (1991) 2 Cal.App.4th 153, 157.) Yet, Plaintiffs claim is for fraudulent <u>concealment</u>. Thus, it is unlikely that facts regarding fraudulent representations would be pertinent here, given that Plaintiff does not plead fraudulent <u>misrepresentation</u>. Accordingly, based on applicable law and as set forth hereinabove, the Motion is DENIED. Plaintiff to provide notice.
14.	30-2026-01561390 Cathay Bank vs. Iridium Property Investments, LLC	1. Order to Show Cause re: Preliminary Injunction Plaintiff, Cathay Bank (“Plaintiff” or “the Bank”), applies for an order appointing a receiver over a commercial property generating monthly rents in excess of \$158,000, commonly known as 2201 Alton Parkway and 16940 Von Karman Avenue, Irvine, California, Assessor’s Parcel Number 435-034-12 (the “Property”). Plaintiff contends that the Property secures a fully matured loan by the Bank with an outstanding balance in excess of \$11,400,000.00 (“Loan”) to Iridium Property Investments, LLC (“Borrower” and/or “Iridium”); that the Borrower defaulted under the terms of the loan documents by failing to pay all sums due on the January 15, 2026 maturity date of the Note; that Defendant Michael J. Rogerson (“Rogerson”) and the Michael J. Rogerson Trust Dated May 7, 2011, as Amended (“Trust”) (collectively, the “Guarantors”) executed their Continuing Guaranties (“Guaranties”) pursuant to which they guaranteed repayment to the Bank of all sums owed by the Iridium to the Bank; that the Guarantors have paid no sums pursuant to the terms of their Guaranties; that under Section 1.11 of the Deed of Trust and Assignment of Rents, the Borrower has expressly consented to the appointment of a receiver; that Code of Civil Procedure section 564(b)(1), (2), (9), and (11) empower the Court to appoint a receiver in the present case because the terms of the Deed of Trust provide Plaintiff with an assignment of all the rents generated from the Property; and that the appointment of a receiver is necessary to take over the management and control of the Property, with the power to collect all rents, revenues and profits, manage, lease, protect and preserve the collateral as without one there is immediate and substantial danger that the collateral may be lost, secreted, and/or misappropriated, all to the detriment and irreparable loss to Plaintiff.